

AI implications in Insurance, Trading, and Crypto Markets

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Executive Summary:

This memo provides an analysis/summary of the policy landscape around AI with a particular focus on implications for financial markets. It begins with a survey of policy viewpoints across the landscape and zeroes in on several financial services-related areas of concern.

The rise of artificial intelligence (AI) offers enormous potential for economic and scientific advancement. Its development also presents a wide range of risks. Underappreciated are the risks relating to financial markets.

The rapid advancement of AI and the rise of highly levered computing infrastructure and data access appears likely to reinforce existing concerns about competition among technology firms. Autonomous AI-driven algorithmic models also appear likely to introduce potentially severe systemic vulnerabilities, including fast-moving herd behavior in financial markets and proxy discrimination in insurance underwriting. Given significant uncertainties around the development and expansion of AI across the economy, including its ability to generate revenue for AI hyperscalers, is also likely to create heightened financial market risks around valuation, which may be exacerbated by concentration in the markets and ongoing deregulatory trends emanating from the U.S. Congress, the U.S. Securities and Exchange Commission (SEC), U.S. Commodity Futures Trading Commission (CFTC), and the Public Company Accounting Oversight Board (PCAOB).

What to do about AI oversight has sparked a wide ranging debate in policymaking circles, including between those who want more or less regulation and whether regulation should be located at the federal or state level. Advocates of technology acceleration urge the continued adoption of pro-innovation policy frameworks, and warn that over-regulation could stifle our country's technical vigor and undermine its global competitiveness in this critical area. However, others point out that past experience from technological change, as well as other fast-moving legal, regulatory, and economic change, highlights the need for common sense regulatory frameworks for transparency, accountability, and crisis-prevention. Quite simply, self-regulation will not deliver; fragmented state laws will likely be insufficient; and traditional enforcement is inherently reactive.

A unified, proactive federal regulatory framework is essential to protect consumers, suppliers, and workers from unfair data extraction, secure transparency in corporate disclosures, and implement ex-ante safeguards against algorithm-driven financial crises.

1. Common Grounds and Conflict between Republican and Democratic Policymakers on AI Policy:

- a) Common Grounds on AI Policy between Republican and Democratic Parties: Despite fundamentally different motivations—with Republicans prioritizing geopolitical dominance and Democrats focusing on consumer and worker protections—policymakers in both political parties share critical common ground on the future of AI governance:
 - i) **Federal Frameworks for Frontier Models:** Policymakers from both parties have converged on the narrower proposition that the most advanced AI systems warrant some federal standard. Three bipartisan vehicles advanced in 2026: the Great American AI Act (Oberholte R-CA/Trahan D-MA, June 4)¹, the FRONTIER Act (July, with three Republican and three Democratic co-sponsors)², and H.R. 8094, the AI Foundation Model Transparency Act (March 26)³.
 - ii) **Mitigating Catastrophic Systemic Risks:** Bipartisan legislation in 2026 converged on treating the most capable AI models as a distinct category of systemic risk. The Great American AI Act plans to extend the Cybersecurity Information Sharing Act through 2035 and direct DHS support to small and rural operators. The FRONTIER Act would establish tiered transparency obligations such as model cards, independent audits, and incident reporting. H.R. 8094 would require disclosure of training data, limitations, and evaluation methods.
 - iii) **Innovation:** Policymakers from both parties have advocated on a shared rhetorical frame: federal AI rules should establish guardrails without impeding domestic development. Rep. Lori Trahan (D-MA) described the framework as designed to meet AI's challenges “without smothering American innovation”, and Rep. Jay Oberholte (R-CA) framed the FRONTIER Act as ensuring regulation while the United States “remains the global leader in AI.”⁴
 - iv) **Preserving American Technical Vigor:** Sponsors from both parties present their proposals as balancing guardrails with domestic innovation. Republicans generally emphasize competitive positioning more directly, as many, including Rep. Erin Houchin (R-IN), are concerned about “falling behind China.”⁵ Democratic approaches remain split between incremental cooperation and broader regulation.⁶

¹ Great American AI Act of 2026, introduced June 4, 2026 by Reps. Jay Oberholte (R-CA) and Lori Trahan (D-MA). See Goodwin Procter, “Congress and State Lawmakers Are Racing to Keep Up With AI,” June 24, 2026.

² FRONTIER Act, introduced July 2026 by Reps. Oberholte, Trahan, Franklin (R-FL), Peters (D-CA), Houchin (R-IN), and Subramanyan (D-VA). Office of Rep. Jay Oberholte, press release, July 2026.

³ AI Foundation Model Transparency Act of 2026, H.R. 8094, introduced March 26, 2026. See Alston & Bird, April 9, 2026.

⁴ Press Release, Rep. Jay Oberholte (July 23, 2026); Press Release, Rep. Lori Trahan (July 23, 2026).

⁵ Press Release, Rep. Jay Oberholte (June 4, 2026).

⁶ ArentFox Schiff (June 16, 2026); ROLL CALL (June 4, 2026).

The appeal to economic competitive advantage could be divided into two arguments: geopolitical, that the U.S. must reach advanced AI before China for military and strategic reasons, and commercial, that American firms must capture AI's economic value. However, being a first-mover doesn't guarantee economic competitive advantage: although Britain led the industrial revolution technically, the U.S. captured more of its gains. If AI's economic returns come mainly from widespread adoption rather than having the most capable model, then measuring national advantage by frontier model performance measures the wrong variable. Instead, it's important to identify where in the industry profits actually accumulate: with chipmakers, power providers, cloud services, model developers, or the companies building applications? Furthermore, it is important to find what is holding AI development back and how long it takes for free or low-cost models to match the leading ones to determine whether early leads erode quickly.

What sharpens these questions is the shift from generative to agentic AI in 2026. The Bank of England reports that AI models can handle longer, more complex tasks faster than researchers expected. METR found that the length of a task a model can complete has been doubling roughly every four months, down from an earlier estimate of seven. Leading models can now finish software engineering work that would take a human expert sixteen hours with about 50% success rate.⁷ Furthermore, deployment is running ahead of oversight: more than half of finance firms now run agentic systems, and Deputy Governor Sarah Breeden has said that existing frameworks can't keep up with autonomous agents and that a human in the loop for every agent action is unrealistic.⁸ As AI develops further and begins to enter the research industry, the urgency for rapid development is exacerbated by the assumption that AI will be able to perform AI research. Once AI enters this research loop, the urgency argument rests on the further assumption that AI capable of performing such research would compound a modest lead. However, agentic systems can also backfire: because they act inside a firm's workflows, their value depends heavily on adoption, integration, and trust, supporting the case that widespread adoption determines who captures the gains rather than frontier capability.

- b) Conflict on AI Governance: While policymakers in both parties recognize the need for a unified federal baseline, their core ideological motivations, regulatory approaches, and social priorities remain deeply polarized:
 - i) **Geopolitical Acceleration vs. Precautionary Guardrails:** Republican policymakers, in general, treat AI primarily as a national security race against foreign adversaries like China. They advocate for a fast-tracked, pro-innovation environment that maximizes technical development. Conversely, Democratic policymakers adopt a precautionary stance, prioritizing the structural mitigation of societal harms—such as

⁷ Bank of England, Financial Stability Report — July 2026.

⁸ Sarah Breeden, Agents of Change, ECB Forum on Central Banking, Sintra (June 30, 2026).

automated worker displacement, data privacy erosion, and corporate surveillance—even if it necessitates slower, tighter regulatory oversight.

- ii) **Federal Preemption vs. Multi-Tiered Accountability:** To prevent regulatory friction, Republicans favor total federal preemption, which would establish a federal ceiling to block and nullify state-level laws. Democrats, by contrast, support a multi-tiered regulatory environment. They defend the right of state governments and local attorneys general to enforce localized rules, arguing that local oversight provides crucial layers of consumer protection that a single federal framework might overlook.
- iii) **Algorithmic Neutrality vs. Anti-Discrimination Mandates:** A foundational ideological divide exists regarding the content and training data of AI models. Republicans strongly oppose federal anti-discrimination mandates, arguing that enforcing "equity" rules artificially embeds partisan, progressive biases into algorithms. Democrats, conversely, view anti-bias protections as essential, demanding strict federal oversight to expose and audit AI models that inadvertently use proxy data to reinforce systemic discrimination against marginalized communities.

2. Economic Background: Concentration and Financial Risk

The financial risks discussed below stem from three conditions: concentration across the AI supply chain, a shift in how that buildout is financed, and the migration of the resulting credit exposure into less visible parts of the system.

- a) **Market and Compute Concentration:** concentration in AI infrastructure is high and increasing across three distinct layers
 - i) **Equity markets:** The “magnificent seven” by market capitalization represented 34.3% of the S&P 500 index as of December 2025, up from 12.3% in 2015⁹ (namely NVIDIA at 7.7%, Apple at 6.8%, Microsoft at 6.1%, Alphabet at 5.6%, Amazon at 3.8%, Tesla at 2.6%, and Meta at 2.4%).¹⁰ Approximately 42% of the S&P 500’s 2025 total return came from the Magnificent Seven, which averaged 27.5% returns against a high-teens return for the index.¹¹ Yet that same group forecasted only 12.7% of forward earnings, meaning investors are paying roughly 2.5 times as much for these companies’ share of the market as their share of the profits currently justifies on the expectation that AI closes the difference.¹²

⁹ S&P Dow Jones Indices data, cited in NASDAQ (Jan. 5, 2026).

¹⁰ Advisors Confront Magnificent 7 Concentration Risk in Portfolios, INVESTMENTNEWS (Jan. 9, 2026), <https://www.investmentnews.com/equities/mag-7-for-tomorrow/264753>.

¹¹ Advisors Confront Magnificent 7 Concentration Risk in Portfolios, INVESTMENTNEWS (Jan. 9, 2026), <https://www.investmentnews.com/equities/mag-7-for-tomorrow/264753>.

¹² Yardeni Research, S&P 500 With & Without The Magnificent-7 (Dec. 2025), <https://www.yardeniquicktakes.com/s-p-500-with-without-the-magnificent-7/>.

- ii) Compute: The five hyperscaler companies—ordered here by their cumulative AI compute footprint: Microsoft, Amazon, Google (Alphabet), Meta, and Oracle—held about 71% of the world’s cumulative AI compute by the end of 2025, up from 63% in Q1 2024.¹³
- iii) Silicon: These hyperscalers are diversifying their chip supply with custom silicon (Google’s TPU, Amazon’s Trainium, Microsoft’s Maia, Meta’s MTIA), totaling an estimated 1.9 million accelerators deployed in 2026, but they haven’t reduced concentration: NVIDIA still holds about 70% of the AI chip market.¹⁴ Furthermore, the leading AI labs, including OpenAI and Anthropic, largely depend on these firms for the computing power to train and run their models. The dependence has shifted rather than dispersed: every one of these companies fabricates at TSMC, and Broadcom serves as design partner for most of the hyperscaler chips. Custom silicon is also not available to rent, so for firms outside the hyperscalers the accessible market remains narrow.
- b) Cash Flow: These companies were originally valued because they generated enormous free cash flow, however capital expenditure is growing about 70% a year against cash flow growing 23%, with combined free cash flow projected to hit zero around the third quarter of 2026.¹⁵ Amazon’s free cash flow had already turned negative in the first quarter, Microsoft’s is expected to go negative for the first time since 2001¹⁶, and Oracle’s fiscal 2026 free cash flow was negative \$23.7 billion.¹⁷ This aggressive capex expansion signals severe operational risk, as cash production drops when capital commitments reach all-time highs.

Currently, the cash burn is being fueled by these firms raising new capital in the debt and stock markets (Google offered \$84.75 billion in shares in June 2026 [06/26]; Meta raised \$30 billion in debt [10/25]; Amazon raised \$15 billion in debt [11/25]; Oracle raised \$25 billion in debt [02/26], and NVIDIA issued \$25 billion, its first bond sale in five years).¹⁸

Market absorption is showing strain: NVIDIA, SpaceX, and Amazon each raised \$25 billion only to see the debt trade below issue price immediately, and Amazon’s July offering required 18-21 basis points of additional yield with order coverage at 2.5x.¹⁹ Furthermore, incremental annual debt rose from 9% of capital expenditure in fiscal 2024 to 32% by

¹³ Epoch AI, How Concentrated Is AI Compute?, <https://epoch.ai/data-insights/compute-concentration>.

¹⁴ The Custom AI ASIC State of Play (May 2026) — Broadcom Deals, Google TPUs, Meta MTIA & Beyond, TOM'S HARDWARE (May 21, 2026), <https://www.tomshardware.com/tech-industry/semiconductors/custom-ai-asics-examined-from-broadcom-to-mtia>; Hyperscaler Custom Silicon Tracker 2026, PRESENC AI (May 2026), <https://presenc.ai/research/hyperscaler-custom-silicon-tracker-2026>.

¹⁵ Epoch AI (Isabel Juniewicz), Hyperscaler Capex Is on Trend to Outpace Their Cash Inflows by the End of 2026 (June 16, 2026); Morgan Stanley and Moody's estimates as compiled therein.

¹⁶ Hyperscalers Face Higher Capex Scrutiny After Alphabet Report Panned, CNBC (July 28, 2026), <https://www.cnbc.com/2026/07/28/hyperscalers-face-higher-capex-scrutiny-after-alphabet-report-panned.html>.

¹⁷ Oracle Q4 FY2026 results (June 2026).

¹⁸ Factbox — Tech Companies Tap Debt Markets to Fund AI and Cloud Expansion, REUTERS (Mar. 10, 2026), <https://finance.yahoo.com/news/factbox-tech-companies-tap-debt-225411778.html>; Alphabet Investor Relations (June 2026).

¹⁹ AI Debt Indigestion Forces Wall Street to Rethink Bond Sales, BLOOMBERG (Aug. 2026).

mid-2026.²⁰ Morgan Stanley predicts hyperscaler borrowing to top \$400 billion in 2026, more than double 2025's \$165 billion. Alphabet, Meta, Amazon, and Oracle alone have issued more than \$300 billion in bonds since the start of 2025.²¹ Meta's \$30 billion offering was the largest individual non-M&A investment-grade bond sale on record, and Alphabet's \$84.75 billion equity raise in June 2026 was the largest equity transaction ever by a listed company.²² This breaks what investors call an unspoken contract that AI capital spending would be funded with equity or cash rather than debt, raising questions of creditworthiness that did not previously apply to these firms.²³ This sudden pivot to massive debt reliance and equity dilution highlights a brewing capital structure crisis, exposing legacy mega-caps to fixed-income refinancing risks if AI revenue fails to monetize on schedule.

A notable counterpoint is that post-issuance leverage at the hyperscalers remains in the 0.4-0.7x range against an investment-grade average near 3x.²⁴ The concern is trajectory and financing mix rather than current balance-sheet distress.

- c) Circular Financing: Vendor financing has become a significant and common feature of AI infrastructure funding. Chipmakers and cloud providers invest in AI labs, which spend those proceeds buying the investor's chips and cloud capacity. Analysts tracking these arrangements estimate the total to be above \$800 billion by 2026.²⁵ NVIDIA has announced more than \$750 billion in such deals and is reportedly in discussions to finance \$350 billion of OpenAI's purchases of NVIDIA chips. Furthermore, Google has agreed to backstop lease payments at five data center sites for Anthropic, effectively enabling a \$35 billion loan.²⁶ OpenAI has committed about \$1.15 trillion across seven vendors against revenue slightly above \$20 billion and an estimated \$14 billion loss in 2026.²⁷ This circular financing scheme creates a self-reinforcing illusion of organic revenue growth, where a shortfall at any node reduces revenue, collateral value, and financing capacity across all others simultaneously.
- d) Financial System Exposure
 - i) Direct bank exposure appears limited. A February 2026 Federal Reserve Bank of Chicago study found banks' outstanding exposure to AI-adjacent industries averages about 0.8% of total assets, with delinquency rates in line with the rest of the

²⁰ FactSet, Hyperscalers Tap External Financing as AI Capex Outruns Cash Flow (July 2026), <https://insight.factset.com/hyperscalers-tap-external-financing-as-ai-capex-outruns-cash-flow>.

²¹ Bloomberg calculations, cited in The AI Boom Is Increasingly Built on Debt, FORTUNE (July 17, 2026), <https://fortune.com/2026/07/17/ai-boom-debt-blitz-investor-demand-hyperscaler-bond-issuance/>.

²² MUFG analyst estimates via Quartz (May 8, 2026); Alphabet Investor Relations (June 2026).

²³ How the AI Debt Binge Shattered Hyperscalers' "Unspoken Contract" With Investors, CNBC (Feb. 23, 2026), <https://www.cnbc.com/2026/02/23/big-techs-ai-bond-binge-shatters-unspoken-contract-with-investors.html>

²⁴ AI Bond Issuance Tests the Market's Appetite for Long-Dated Tech Debt, INVESTING.COM (May 26, 2026).

²⁵ Bloomberg, AI Circular Deals: How Microsoft, OpenAI and Nvidia Keep Paying Each Other (Jan. 22, 2026), <https://www.bloomberg.com/graphics/2026-ai-circular-deals/>.

²⁶ Nvidia's \$750 Billion Deals Revive Fear of AI Circular Financing, BLOOMBERG (July 2026).

²⁷ OpenAI vendor commitment breakdown, 2025–2035.

portfolio.²⁸ However, if software firms cut infrastructure spending, semiconductor makers, energy companies, and data centers are hit simultaneously, and they won't be able to repay banks.

- ii) Exposure has migrated to private credit. Private credit lending to AI-related borrowers has gone from near zero to more than \$200 billion in a few years, and Morgan Stanley projects another \$800 billion in data center financing from private credit over the next two years.²⁹ The Financial Stability Board found AI firms accounted for more than a third of private credit deals in 2025, up from 17% over the previous five years.³⁰ Recognized early risks have prompted Tier-1 lenders such as JP Morgan, Morgan Stanley, and SMBC are trying to offload AI data-center debt such as JP Morgan and MUFG spending over six months distributing \$38 billion in construction loans for an Oracle-leased project.³¹ With total AI-company debt at ~\$1.2 trillion, more than double large banks' commercial/industrial commitments, risk has shifted into opaque pension funds and insurers.³²
- iii) Pricing divergence: Crucially, BIS notes private credit spreads on AI loans mirror traditional non-AI corporate debt, in contrast to equity valuations implying outsized returns: two valuations that cannot logically coexist.³³
- iv) Disclosure: Moody's finds that hyperscaler lease commitments not yet recognized on balance sheets equal 113% of adjusted debt.³⁴ A July 2026 Nikkei investigation estimated that Microsoft, Amazon, Alphabet, Meta, and Oracle carry about \$1.65 trillion in off balance sheet SPV debt, as opposed to the \$1.35 trillion reported.³⁵ BIS finds that leverage doesn't diminish by being less visible.³⁶
- e) Structural Parallels and Their Limits: This setup mirrors the structural flaws of the 2008 financial crisis. Prior to 2008, institutions shifted subprime assets off-balance-sheet into liquidity-guaranteed conduits; when runs occurred, \$1.25 trillion in asset-backed commercial paper (ABCP) proved to be an illusory risk transfer, forcing sponsoring banks to absorb between \$68 billion and \$204 billion in losses.³⁷ Furthermore, just as 2008 mortgage models falsely assumed national housing prices wouldn't correlate downward, current AI debt facilities are backed by depreciating silicon. CoreWeave's \$7.5 billion facility—secured by

²⁸ Fed. Reserve Bank of Chicago, Tail Risk for Banks Posed by Investments in Generative Artificial Intelligence (Feb. 2026),

<https://www.chicagofed.org/publications/chicago-fed-insights/2026/ai-tail-risk-for-banks>.

²⁹ Quinn Emanuel, Emerging Litigation Risks in Financing AI Data Centers Boom (Mar. 13, 2026), <https://www.quinnemanuel.com/the-firm/publications/client-alert-emerging-litigation-risks-in-financing-ai-data-centers-boom/>.

³⁰ Fin. Stability Bd., Report on Vulnerabilities in Private Credit (May 6, 2026), <https://www.fsb.org/uploads/PO60526.pdf>.

³¹ Financial Times reporting (May 2026).

³² Fed. Reserve Bank of Chicago, *supra* note 28.

³³ Iñaki Aldasoro, Sebastian Doerr & Daniel Rees, Financing the AI Boom: From Cash Flows to Debt, BIS Bulletin No. 120 (Jan. 2026), <https://www.bis.org/publ/bisbull120.pdf>.

³⁴ Epoch AI (Isabel Juniewicz), Hyperscaler Capex Is on Trend to Outpace Their Cash Inflows by the End of 2026 (June 16, 2026); Morgan Stanley and Moody's estimates as compiled therein.

³⁵ Nikkei Asia, off-balance-sheet SPV investigation (July 2026)

³⁶ Iñaki Aldasoro, Sebastian Doerr & Daniel Rees, Financing the AI Boom: From Cash Flows to Debt, BIS Bulletin No. 120 (Jan. 2026), <https://www.bis.org/publ/bisbull120.pdf>.

³⁷ *Id.*

GPUs and client contracts at ~11% variable interest with repayments starting January 2026—faces rapid collateral decay.³⁸ Hardware depreciates over 5–6 years, and its secondary market value depends entirely on continued capital expenditure demand. If AI buildout momentum stalls, GPU resale values and borrower revenues collapse in tandem, triggering systemic collateral liquidations across private lenders.

However, there are also several differences between the 2008 financial crisis and the modern day AI bubble: for one, AI capital expenditure funds productive infrastructure instead of housing speculation. In addition, bank capital is substantially higher than in 2008, and direct bank exposure is measurably small. The evidence supports the idea that risk distributed is not risk eliminated, and that the portion which has moved to private credit and off balance sheet structures is not currently measurable with current available regulatory data, according to Chicago Fed's own account.³⁹

3. The AI Policy Spectrum

The discussion over AI regulation largely reflects the discussion over financial regulation, and often involves the same organizations making the same arguments. In both debates, one side warns that fast-moving, concentrated industries can cause widespread damage, while the other warns that heavy regulation will slow innovation and push business elsewhere. Furthermore, the question of whether federal rules should override state ones is present in both debates. Better Markets, founded to press for tougher financial rules, has been publishing on AI since 2024 and frames the issue around concentration, noting that the five largest investment banks filed 94% of AI-related patents between 2017 and 2021.⁴⁰ On the other hand, The Bank Policy Institute argues the industry side, reporting that supervisors who do not appreciate AI risk profiles have made member institutions risk-averse.⁴¹ Regulators have now officialized the connection: Treasury's Financial Stability Oversight Council wrapped up a four-part series on AI in May 2026⁴², and Rep. Maxine Waters opened a formal inquiry into AI in financial services.⁴³

Concern about concentration among a handful of hyperscalers appears on both the left and the populist right. Epoch AI estimates that Amazon, Google, Meta, Microsoft, and Oracle collectively

³⁸ Quinn Emanuel, Emerging Litigation Risks in Financing AI Data Centers Boom (Mar. 13, 2026).

³⁹ Fed. Reserve Bank of Chicago, Tail Risk for Banks Posed by Investments in Generative Artificial Intelligence (Feb. 2026),

<https://www.chicagofed.org/publications/chicago-fed-insights/2026/ai-tail-risk-for-banks>.

⁴⁰ Better Markets, AI in the Financial Markets: Potential Benefits, Major Risks, and Regulators Trying to Keep Up,

<https://bettermarkets.org/analysis/ai-in-the-financial-markets-potential-benefits-major-risks-and-regulators-trying-to-keep-up/>.

⁴¹ Bank Policy Inst., Response to Request for Information; Regulatory Reform on Artificial Intelligence (Oct. 27, 2025),

<https://bpi.com/wp-content/uploads/2025/10/BPI-OSTP-AI-RFI-Response-10.27.25.pdf>.

⁴² Press Release, U.S. Dep't of the Treasury, Treasury Concludes the Artificial Intelligence Innovation Series (May 19, 2026), <https://home.treasury.gov/news/press-releases/sb0540>.

⁴³ Press Release, H. Comm. on Fin. Servs. Democrats, Ranking Member Waters Launches Request for Information on AI Risks and Modernization in Financial Services (2026),

<https://democrats-financialservices.house.gov/news/documentsingle.aspx?DocumentID=415374>.

held about 71% of the world's cumulative AI compute as of Q4 2025, with leading labs largely dependent on these firms for training and inference.⁴⁴

- a) **Republican Policymakers:** The predominant position of right-leaning policymakers and thinkers centers on securing American global dominance over foreign adversaries like China in a technological arms race. They aim to accelerate domestic AI innovation by establishing a uniform federal regulatory framework that preempts and prohibits states from creating a fragmented patchwork of localized laws. Senator Marsha Blackburn's (R-TN) TRUMP AMERICA AI Act reflects this approach in the most comprehensive federal AI legislation proposed to date, preempting state law, establishing a new liability framework, and rewriting copyright liability.⁴⁵ In addition, party members emphasize the importance of protecting children and privacy in the new age of AI: the Kids Online Safety Act and NO FAKES Act as well as third-party audits related to discrimination and bias are also incorporated into the draft.
- b) **Democratic Policymakers:** Their primary focus centers on mitigating the systemic risks, data exploitation, and social inequities caused by rapid, unchecked AI development. Key concerns include data privacy violations, child safety, worker displacement, and algorithmic bias. They advocate for rigorous regulatory oversight at both the state and federal levels, emphasizing that democratic accountability and consumer protections must be maintained rather than ceding governance entirely to private corporations or self-regulating market forces. Sen. Elizabeth Warren (D-MA) has expressed her concern over tech giants "concentrating ownership over powerful technologies and attempting to rewrite the rules that govern them," with taxpayers exposed to a Big Tech-driven crash from debt-financed AI buildout.⁴⁶ Democrats are also concerned about hyperscaler concentration. In June 2026, Warren urged Congress to strengthen antitrust enforcement on AI and revamp merger law to make more information public.⁴⁷ Warren has also pressed this concern to Treasury Secretary Bessent to urge investigation into opaque data center financing and warning of a Big Tech-driven crash from debt-financed AI buildout.⁴⁸
- c) **RAND Corporation (Political Orientation: Non-partisan)**
 - i) **Perspective:** Focuses heavily on strengthening AI safety institutes and establishing robust international coordination mechanisms. Because AI evolves too quickly for traditional congressional legislation to react during a crisis, they view static predictions as unreliable. In *Rethinking Social and Economic Policy in the Age of*

⁴⁴ Epoch AI, How Concentrated Is AI Compute?

⁴⁵ Covington, White House, Blackburn Introduce Visions of Comprehensive Federal AI Policy (Mar. 26, 2026).

⁴⁶ Press Release, Sen. Elizabeth Warren, Senate Banking Comm. (June 2026), <https://www.banking.senate.gov/newsroom/minority/at-ai-hearing-warren-probes-witnesses-on-national-security-economic-risks-of-unregulated-big-tech>.

⁴⁷ Warren Urges Congress to Boost Antitrust Oversight of AI and Merger Reviews, BLOOMBERG (June 24, 2026).

⁴⁸ Letter from Sen. Elizabeth Warren to Sec'y of the Treasury Scott Bessent (2026); Warren press release, *supra* note 46.

General-Purpose Artificial Intelligence (RR-A3888-2, 2025), Jonathan Welburn and colleagues synthesize sectoral adoption trends and emphasize the uncertainty surrounding AI capability advancement, warning that unpredictability can produce cascading failures, systemic risks, and large-scale workforce impacts. They recommend adaptable scenario planning to implement "automatic stabilizers"—pre-engineered safety nets and algorithmic protocols designed to trigger automatically during unexpected AI-driven shocks rather than betting on a single forecast.⁴⁹

- ii) Alignment: This aligns an emphasis on structural safety nets and systematic government-backed mitigation, though it maintains an objective, non-partisan stance on execution.

d) Brookings Institution (Political Orientation: Mainstream Center / Center-Left)

- i) Perspective: Argues that the United States is structurally unprepared for the rapid labor disruption caused by AI, noting that the U.S. historically spends significantly less on workforce training as a share of GDP than other advanced economies. This concept appears in *Building pro-worker AI* (Feb. 2026)⁵⁰, which sorts technologies into five categories and observes that only new task-creating technologies are unambiguously pro-worker while automation is unambiguously not. It argues that current AI investment concentrates on AGI-level capabilities with far less energy flowing toward pro-worker development even though pro-worker tools are arguably pro-firm as well, since they let workers produce more value. Molly Kinder notes that the US spends heavily on higher education but little on workforce training, leaving few mechanisms to help workers navigate AI-driven change.⁵¹

- ii) Alignment: This strongly aligns with Democratic policymakers' core focus on worker protections, equity, and public sector stewardship over labor markets.

e) Insurance-Law Scholarship (Political Orientation: Technocratic / Academic):

- i) Perspective: Focuses on standardizing operational liability, suggesting that private insurance markets will effectively regulate AI risk long before formal government frameworks can adapt. The foundational statement is Anat Lior's *Insuring AI: The Role of Insurance in Artificial Intelligence Regulation*, 35 Harv. J.L. & Tech. 467 (2022).⁵² Because insurers face immediate financial exposure from AI errors, they are highly incentivized to price risk accurately. The insurance sector possesses unique,

⁴⁹ Jonathan W. Welburn et al., Rethinking Social and Economic Policy in the Age of General-Purpose Artificial Intelligence: Navigating the Cascading Impacts of AI Adoption, RAND Corp., RR-A3888-2 (2025), https://www.rand.org/pubs/research_reports/RR-A3888-2.html.

⁵⁰ Building Pro-Worker AI, BROOKINGS INST. (Feb. 23, 2026), <https://www.brookings.edu/articles/building-pro-worker-ai/>.

⁵¹ Are Students and Workers Ready for AI?, BROOKINGS INST., The Current podcast (Dec. 5, 2025), <https://www.brookings.edu/articles/are-students-and-workers-ready-for-ai>.

⁵² Lior, Anat. "Insuring AI: The Role of Insurance in Artificial Intelligence Regulation." Harvard Journal of Law & Technology 35, no. 2 (2022): 467.

practical enforcement tools: it can mandate technical safety standards as a baseline condition for coverage, reward safe corporate practices with lower premiums, conduct regular operational audits, and deny claims for safety violations.

- ii) Alignment: This is a technocratic framework that occupies a neutral middle ground. It appeals to Republicans by relying on private industry (insurance) rather than expansion of a federal bureaucracy, but it also satisfies Democrats by enforcing strict algorithmic accountability, auditing, and corporate compliance standards.

f) Cato Institute (Political Orientation: Libertarian / Free-Market Center-Right)

- i) Perspective: In *What Might Good AI Policy Look Like? Four Principles for a Light Touch Approach to Artificial Intelligence*, Jennifer Huddleston primarily argues that America's global technological superiority was achieved in the 1990s by intentionally leaving the early internet unburdened by heavy regulations, and asserts that AI requires the exact same laissez-faire environment to thrive.⁵³ In *Regulatory Preemption or Patchwork? What's at Risk for AI Innovation and Consumers*, Cato argues that state regulation risks derailing this light-touch approach and that AI is by its nature almost always a matter of interstate rather than intrastate commerce, making it inherently a federal issue.⁵⁴ In its review of the Obernolte-Trahan draft, *AI Legislation, Export Restrictions, and Free Speech Caught in Between*, Cato treats preemption as a speech benefit: a single set of light-touch federal rules preventing a patchwork that would inhibit competition and reduce the diversity of AI tools. They fault the bill for preempting too narrowly, since its three-year window covers only AI development and not the many applications of AI.⁵⁵ However, Cato's federalism caveat is limited: in Huddleston's framework, states may retain traditional roles, including decisions about their own governmental use of AI, but should not broadly regulate or ban the technology.
- ii) Alignment: This represents a free-market, center-right position. It aligns with Republicans on absolute deregulation and treating AI outputs as protected speech, but breaks from the party's mainstream position by defending federalism and opposing centralized federal preemption.

g) Heritage Foundation (Political Orientation: Conservative / Right)

- i) Perspective: Contrary to most right-wing views, the Heritage Foundation opposes preemption. In *Federal AI Power Grab Could End State Protections for Kids and*

⁵³ Jennifer Huddleston, *What Might Good AI Policy Look Like? Four Principles for a Light Touch Approach to Artificial Intelligence*, CATO AT LIBERTY (Nov. 9, 2023), <https://www.cato.org/blog/what-might-good-ai-policy-look-four-principles-light-touch-approach-artificial-intelligence>.

⁵⁴ *Regulatory Preemption or Patchwork? What's at Risk for AI Innovation and Consumers*, CATO AT LIBERTY (Nov. 25, 2025), <https://www.cato.org/blog/preemption-or-patchwork-whats-risk-innovation-consumers>.

⁵⁵ *AI Legislation, Export Restrictions, and Free Speech Caught in Between*, CATO AT LIBERTY (June 22, 2026), <https://www.cato.org/blog/ai-legislation-export-restrictions-free-speech-caught-between>.

Workers, Heritage argued that the proposed ten-year moratorium in Section 43201 of the House reconciliation package would undermine state laws and override legitimate state efforts to curb Big Tech’s abuses with no federal safeguards to replace them.⁵⁶ Heritage’s main concerns center on children and on Big Tech consolidation rather than on rapid technological development. In *Big Tech’s AI Power Grab*, Heritage warns that closed-source AI further concentrates Big Tech’s power, allowing a few tech giants to control the most advanced technologies through opaque, unaccountable systems.⁵⁷ Heritage also opposed California’s SB 1047, arguing it would help powerful firms stifle competition.⁵⁸

- ii) **Alignment:** This represents a populist right position. It aligns with mainstream Republican viewpoints on child safety and on the skepticism of California-style AI regulation, but diverges from both the administration and libertarian viewpoints on preemption. Its critique of Big Tech consolidation converges with progressive anti-monopoly analysis, but favors open-source competition and state-level accountability over federal regulatory authority.

4. Insurance and AI

- a) **Policy & Regulatory Landscape:** The insurance sector is experiencing a structural decoupling: private insurers are rapidly withdrawing coverage for AI-related liabilities while simultaneously embedding AI algorithms into their own operational underwriting and claims-denial workflows. In response, state regulators and a body of insurance-law scholarship are stepping in and proposing private-market alternatives. Rather than writing federal rules (as is common for banking institutions and securities markets), insurance policy trends lean toward state-level consumer protections and technocratic reliance on private compliance standards, while progressives call for public backstops.
- b) **Supporting Evidence & Operational Cases:**
 - i) **The AI Liability Trap:** Courts are imposing negligent misrepresentation on corporations for the automated outputs of their AI. In *Moffatt v. Air Canada* (2024), a Canadian tribunal ruled that corporations are fully liable for inaccurate information provided by their web chatbots (e.g., misrepresenting bereavement fare policies), meaning businesses face negligent misrepresentation just as traditional coverage vanishes.
 - ii) **The Exclusion Wave:** In January 2026, insurance standard-setter Verisk introduced general liability endorsements (forms CG 40 47 and CG 40 48) allowing insurers to exclude claims "arising out of" generative AI. Following this, commercial carriers like Berkley instituted absolute AI exclusions across Directors and Officers (D&O) and Errors and Omissions (E&O) policies. However, a specialty market has emerged to fill the gap. Armilla Insurance Services launched a standalone AI liability insurance in

⁵⁶ Federal AI Power Grab Could End State Protections for Kids and Workers, HERITAGE FOUND. (June 2025), <https://www.heritage.org/big->

⁵⁷ Big Tech's AI Power Grab, HERITAGE FOUND., <https://www.heritage.org/big-tech/commentary/big-techs-ai-power-grab>.

⁵⁸ California's Gift to Big Tech, HERITAGE FOUND., <https://www.heritage.org/big-tech/commentary/californias-gift-big-tech>.

April 2025 and raised its limits to \$25 million in January 2026.⁵⁹ Munich Re offers comparable enterprise coverage, and Testudo has also entered the market.⁶⁰ Demand appears substantial: the Geneva Association found 90% of 600 surveyed corporate insurance buyers signaled a need for dedicated generative AI coverage.⁶¹

- iii) Automated Claims Discrimination: Insurers are aggressively deploying AI to automate claims denials. In *Estate of Gene B. Lokken v. UnitedHealth Group*, plaintiffs alleged that the insurer used its "nH Predict" algorithm—which carried an alleged 90% error rate—to systematically deny post-acute care to elderly patients without human clinical review.

c) Alignment with Political & Think Tank Views

- i) Democratic Perspective: One of the left's main concerns is that AI systems reproduce discrimination through proxy variables rather than explicit classification. New York's Department of Financial Services Circular Letter 2024-7 requires insurers to prove that AI systems don't proxy for protected classes and permits regulators to review vendor tools directly.⁶² Brookings argues in Martin Eling's *How Insurance Can Mitigate AI Risks (2019)* that insurance is itself a governance mechanism⁶³ and that automated decisions can perpetuate discrimination against underserved groups.⁶⁴

Democratic policymakers are also concerned with claim denials. Automated tools have generated a growing body of litigation, one of which is the UnitedHealth suit where the company allegedly used an algorithm to cut off nursing-home care for Medicare Advantage patients against their doctors' judgement, with an error rate that plaintiffs put near 90%.⁶⁵ Legislatures responded with the California SB 1120, effective January 2025, which prohibits coverage denials based solely on automated tools without licensed human review.⁶⁶

- ii) Republican Perspective / Academic Frameworks: Mainstream Republican frameworks generally avoid imposing anti-bias mandates, though the position is not absolute, as Senator Blackburn's 2026 discussion TRUMP AMERICA AI Act discussion draft includes third-party audits related to discrimination and bias.⁶⁷ A body of insurance-law scholarship argues that because insurers bear immediate financial exposure when AI fails, they will price and manage that risk faster than a federal agency could by conditioning coverage on safety standards, rewarding

⁵⁹ Armilla AI Raises Lloyd's-Backed Coverage to \$25M as Traditional Insurers Retreat from AI Risk (Jan. 2026),

<https://www.armilla.ai/resources/armilla-ai-raises-lloyds-backed-coverage-to-25m-as-traditional-insurers-retreat-from-ai-risk>.

⁶⁰ Armilla Launches Affirmative AI Liability Insurance with Lloyd's Underwriter, Chaucer, PR NEWSWIRE (Apr. 30, 2025),

<https://www.prnewswire.com/news-releases/armilla-launches-affirmative-ai-liability-insurance-with-lloyds-underwriter-chaucer-302442586.html>.

⁶¹ Geneva Ass'n, Gen AI Risks for Businesses (Oct. 2025), cited in Armilla AI Insurance Brief.

⁶² N.Y. Dep't of Fin. Servs., Circular Letter No. 7 (2024), Use of Artificial Intelligence Systems and External Consumer Data and Information Sources in Insurance Underwriting and Pricing.

⁶³ Martin Eling, *How Insurance Can Mitigate AI Risks*, BROOKINGS INST. (Nov. 7, 2019).

⁶⁴ Nicol Turner Lee, Paul Resnick & Genie Barton, *Algorithmic Bias Detection and Mitigation*, BROOKINGS INST. (2019, updated 2023).

⁶⁵ *Estate of Gene B. Lokken v. UnitedHealth Grp., Inc.*, No. 23-cv-3514 (D. Minn.).

⁶⁶ Cal. S.B. 1120 (2024).

⁶⁷ K&L Gates, White House Releases National AI Policy Framework (Mar. 24, 2026).

compliance through premiums, conducting audits, and denying claims for violations: tools the government lacks.⁶⁸ Another view is that catastrophic AI losses exceed private capacity and require a public backstop modeled on the Price-Anderson Act or Terrorism Risk Insurance Act.⁶⁹

5. Trading and AI

- a) Policy & Regulatory Landscape: Modern capital markets are highly automated, but the transition from static quantitative algorithms to autonomous, deep reinforcement learning models has outpaced post-2010 market guardrails. Financial regulators are highly alarmed by "herding behavior"—where independent AI models train on identical data streams and execute correlated strategies in unison. Policy discussions focus on whether existing market-wide circuit breakers can withstand cross-venue AI shocks, and how to police corporate "AI washing."
- b) Supporting Evidence & Operational Cases:
 - i) The Limits of Circuit Breakers: The Flash Crash of May 6, 2010, proved that automated algorithmic feedback loops can erase \$1 trillion in value in minutes without human intervention. While the SEC's subsequent Limit Up-Limit Down (LULD) circuit breakers successfully halted panic during the March 2020 pandemic shocks, central banks warn that these defenses are unsuited for autonomous AI agents.
 - ii) Systemic Correlation: NVIDIA's sixth annual *State of AI in Financial Services* surveyed over 800 financial services professionals worldwide, and found that 65% of respondents' firms actively use AI and 89% report that AI increased revenue or reduced costs.⁷⁰ However the most common uses were for fraud detection, risk management, document processing, and customer service, not trading, and agent deployment remains early at 21% deployed.

On the other hand, Bank of England Deputy Governor Sarah Breeden reported at the ECB's Sintra Forum (June 30, 2026) that more than half of finance firms now run agentic systems across payments, trading, and operational functions.⁷¹ This figure is specific to the UK, drawn from BoE/FCA supervision spanning banks, insurers, broker-dealers, and asset managers rather than banks alone, and describes agentic

⁶⁸ Anat Lior, *Insuring AI: The Role of Insurance in Artificial Intelligence Regulation*, 35 HARV. J.L. & TECH. 467 (2022); Tom Baker & Rick Swedloff, *Regulation by Liability Insurance*, 60 UCLA L. REV. 1412 (2013).

⁶⁹ Cristian Trout, *Liability and Insurance for Catastrophic Losses: The Nuclear Power Precedent and Lessons for AI*, ICML Generative AI and Law Workshop (2024).

⁷⁰ NVIDIA, *State of AI in Financial Services: 2026 Trends* (Jan. 22, 2026), <https://www.nvidia.com/en-us/industries/finance/ai-financial-services-report/>.

⁷¹ Sarah Breeden, Deputy Governor, Bank of England, *Agents of Change*, remarks at the ECB Forum on Central Banking, Sintra (June 30, 2026), <https://www.bankofengland.co.uk/speech/2026/june/sarah-breeden-panel-at-the-european-central-bank-forum-on-central-banking-2026>.

systems generally rather than autonomous trading specifically. Earlier BoE/FCA surveys found that only a small share of AI use cases involving automated decision-making were actually fully autonomous.⁷²

The systemic risk Breeden identifies is herd behavior: agents “could act in similar ways if they are trained on similar data or designed around similar goals,” which could cause them to respond identically to the same market signals. Although most AI used by financial services professionals are open-source models that are fine-tuned on proprietary data (84%, as reported by NVIDIA), correlation could still arise from shared training corpora, shared objectives, and shared market data: not necessarily from shared vendors.

- iii) **Autonomous Algorithmic Manipulation:** Legal scholarship published in the University of Chicago Law Review Online (Gabriel Rauterberg, How Artificial Intelligence will Shape Securities Regulation) demonstrates via empirical experiments that deep reinforcement learning models independently learn to execute unlawful trading strategies entirely absent human instruction.⁷³ Rauterberg’s main concern around this is scienter: an autonomously developing algorithm has no mental state attributable to any designer, thus securities law cannot hold it accountable for individual intent.⁷⁴ He recommends a shift from individualized, punitive, after-the-fact prosecution toward rules that govern how these systems are built and monitored in the first place, and identifies the FAIRR Act as partly inspired by this research.
- iv) **Autonomous Collusion and Homogenization:** Research has shown that reinforcement-learning traders converge on coordinated behavior without any coordinating mechanism. Dou, Goldstein, and Ji show that AI speculators using reinforcement learning autonomously sustain collusive supra-competitive profits without agreement, communication, or intent, and that this collusion undermines market competition and efficiency.⁷⁵ Results showed reduced liquidity, diminished price informativeness, and widened mispricing.⁷⁶

⁷² Bank of England & Financial Conduct Authority, Artificial Intelligence in UK Financial Services (2024 survey).

⁷³ Gabriel Rauterberg, How Artificial Intelligence Will Shape Securities Regulation, 2025 U. CHI. L. REV. ONLINE 1 (2025),

⁷⁴ Michael S. Barr, Gabriel Rauterberg, Michael P. Wellman et al., Reinforcement Learning, Algorithms, and Manipulation Law (working paper), https://law-economic-studies.law.columbia.edu/sites/law-economic-studies.law.columbia.edu/files/content/Barr%20et%20al_Reinforcement%20Learning,%20Algorithms,%20&%20Manipulation%20Law_rev%202021%2010%2019_7%20pm.pdf.

⁷⁵ Winston Wei Dou, Itay Goldstein & Yan Ji, AI-Powered Trading, Algorithmic Collusion, and Price Efficiency, NBER Working Paper No. 34054 (2025), <https://www.nber.org/papers/w34054>.

⁷⁶ AI-Powered Collusion in Financial Markets, Jacobs Levy Equity Mgmt. Ctr., Wharton Sch. (interview with Winston Wei Dou), <https://finance-pillar.wharton.upenn.edu/blog/ai-powered-collusion-in-financial-markets/>.

Two findings of this study matter for policy: first, Dou notes that beyond technological considerations, homogenization of AI algorithms can arise from AI collusion in equilibrium because convergence is profitable, not because they were built alike.⁷⁷ Second, Goldstein observes that regulators have historically looked for evidence of communication between individuals on the premise that price-fixing cannot be sustained without correspondence: but with reinforcement learning, there is no communication between agents that leads to collusion.⁷⁸ This is the same scientist problem Rauterberg identifies, arriving through a different study.

Related work has arrived at similar conclusions. Cont and Xiong found deep RL market makers converge on spreads strictly above the competitive benchmark. Sangiorgi and coauthors identify a learning externality, in which each agent's exploratory trades inject noise that degrades other's learning signals, causing market-wide efficiency losses to arise even when the design explicitly prevents coordination.⁷⁹

However, it is also important to note that these are simulation studies and not observations of live markets. Broader algorithmic-collusion literature contains mixed results, with some studies finding tacit collusion and others refuting it.⁸⁰ Regulators have not found clear evidence that these techniques are currently prevalent in deployed trading systems.

c) Alignment with Political & Think Tank Views

- i) Democratic Perspective / SEC Framework: The SEC's response to AI-related deception has been continuous across administrations, beginning under Chair Gary Gensler in March 2024 and continuing under Chair Paul Atkins. The Cyber and Emerging Technologies Unit was created in February 2025 specifically to pursue AI and cyber misconduct.⁸¹ Chair Gary Gensler's enforcement push against "AI Washing", where financial firms and operating companies overstate their AI capabilities to mislead investors, has moved to a parallel criminal prosecution by April 2025 due to six named cases (Delphia, Global Predictions, Rockwell Capital, Rimar Capital, Presto Automation, and Nate Inc.) representing more than \$44 million in alleged fraud.⁸² Democrats' proposals for AI in financial markets has remained largely aspirational: the one concrete rulemaking, Gensler's Predictive Data

⁷⁷ Id.

⁷⁸ "Artificial Stupidity" Made AI Trading Bots Spontaneously Form Cartels When Left Unsupervised, Wharton Study Reveals, FORTUNE (Aug. 1, 2025).

⁷⁹ Rama Cont & Wei Xiong (2024); Sangiorgi et al., (Deep) Learning to Trade: An Experimental Analysis of AI Trading and Market Efficiency, Wharton (Sept. 2025), https://wffi.wharton.upenn.edu/wp-content/uploads/2025/09/Sangiorgi_Deep__Learning_to_Trade.pdf.

⁸⁰ Diwas Paudel & Tapas K. Das, Tacit Algorithmic Collusion in Deep Reinforcement Learning Guided Price Competition, arXiv:2401.15108.

⁸¹ SEC and AI: What Financial Firms Need to Know in 2026, REG INTEL (Apr. 29, 2026), <https://reg-intel.com/sec-and-ai-what-financial-firms-need-to-know-in-2026/>.

⁸² Your AI Claims Could Be Securities Fraud, CONSILIUM LAW (Mar. 5, 2026).

Analytics rule, which would have required firms to eliminate conflicts where AI tools favor firm interests over clients', was withdrawn under Chair Atkins.⁸³ What remains is a stalled bipartisan bill (the FAIRR Act)⁸⁴, a Democratic letter seeking an FSOC systemic-risk review⁸⁵, and Rep. Waters' Request for Information as the active agenda.⁸⁶

- ii) **RAND Corporation:** RAND warns that AI-driven market shocks may happen faster than Congress can respond, and that the uncertainty around future AI capability makes forecasting unreliable. Instead, it advocates for "automatic stabilizers": pre-programmed safety nets wired into market infrastructure in advance.⁸⁷
- iii) **Republican Perspective:** Market-oriented Republicans generally oppose writing new AI-specific rules, arguing that existing securities law already covers the problem. Chairman Atkins has expressed his view that principles-based rules already require issuers to disclose material impacts, and that prescriptive mandates aren't always the answer to emerging technology.⁸⁸ For financial firms specifically, the 2026 Examination Priorities cover registrants' use of automated investment tools and AI technology, doing much of what the withdrawn Predictive Data Analytics rule would have imposed through supervision rather than rulemaking.⁸⁹
- iv) **PCAOB:** The PCAOB has no AI-specific auditing standard as of 2026, although it has begun a research project on technology-based tools.⁹⁰ Recent inspection reports show that AI-related deficiencies were concentrated in journal-entry testing due to firms using AI-assisted anomaly detection without documenting how the algorithm was calibrated, what data was used, and how false positives were evaluated.⁹¹

6. Crypto and AI

⁸³ Conflicts of Interest Associated with the Use of Predictive Data Analytics by Broker-Dealers and Investment Advisers, Exchange Act Release No. 34-97990, Advisers Act Release No. IA-6353 (proposed July 26, 2023), withdrawn June 2025. See Michael Kitces, AI Compliance: Applying Existing SEC Regulatory Frameworks (Dec. 9, 2025), <https://www.kitces.com/blog/artificial-intelligence-compliance-considerations-investment-advisers-sec-securities-exchange-commission-legal-regulation-framework/>.

⁸⁴ Financial Artificial Intelligence Risk Reduction (FAIRR) Act, S. _____, 118th Cong. (2023) (introduced Dec. 2023 by Sens. Mark Warner (D-VA) and John Kennedy (R-LA)); see Gabriel Rauterberg, How Artificial Intelligence Will Shape Securities Regulation, 2025 U. CHI. L. REV. ONLINE 1 (2025).

⁸⁵ Letter from Sens. Elizabeth Warren, Richard Blumenthal, Tina Smith & Chris Van Hollen to Fin. Stability Oversight Council (Jan. 22, 2026).

⁸⁶ Press Release, H. Comm. on Fin. Servs. Democrats, Ranking Member Waters Launches Request for Information on AI Risks and Modernization in Financial Services (2026), <https://democrats-financialservices.house.gov/news/documentsingle.aspx?DocumentID=415374>.

⁸⁷ Jonathan W. Welburn et al., Rethinking Social and Economic Policy in the Age of General-Purpose Artificial Intelligence, RAND Corp., RR-A3888-2 (2025).

⁸⁸ Guest Post: AI, the SEC, and the 2026 Reporting Season, D&O DIARY (Feb. 5, 2026).

⁸⁹ SEC and AI: What Financial Firms Need to Know in 2026, REG INTEL (Apr. 29, 2026).

⁹⁰ AI in the External Audit (PCAOB and Your Workpapers), CHATFIN (Aug. 2026).

⁹¹ AI Standard Setting, Regulation in Audit: Part 1, CALCPA (Aug. 12, 2026), <https://www.calcpa.org/whats-happening/articles/ai-standard-setting-regulation-in-audit-part-1>.

- a) **Policy & Regulatory Landscape:** Crypto asset markets represent the highest-risk environment for AI-driven disruptions due to structural fragmentation, continuous 24/7 trading, heavy leverage, and a lack of centralized market-wide circuit breakers. While autonomous AI trading agents operate around the clock with minimal human oversight, federal policy is heavily fragmented. Rather than curbing algorithmic crypto trading, current regulatory actions are actively legitimizing onshore spot and derivative crypto venues to pull activity away from unregulated offshore platforms.
- b) **Supporting Evidence & Operational Cases**
 - i) **The October 2025 Leverage Crash:** On October 10, 2025, a sudden macroeconomic shock (a social-media announcement regarding 100% tariffs on China) hit a crypto market carrying \$217 billion in highly leveraged, bullish positions. Because crypto exchanges lack uniform circuit breakers, automated liquidation engines force-sold assets into a vanishing order book. This triggered a domino effect that erased \$19 billion in positions within hours.⁹²
 - ii) **Continuous Autonomous Herding:** Unlike the equities market, which closes and features structural pauses, autonomous AI crypto trading agents respond to real or fabricated sentiment data around the clock. If multiple models herd into a single toxic trade or fall victim to automated flash-loan manipulation, there are no structural safety nets to stop the liquidation cascade until the capital is entirely depleted.
- c) **Alignment with Political & Think Tank Views**
 - i) **Democratic Perspective / Consumer Protection:** Reflects the Democratic platform's deep skepticism of the crypto ecosystem. Progressive policymakers argue that layering autonomous AI over unregulated, leverage-heavy crypto infrastructure exacerbates predatory market manipulation, retail investor wipes, and data privacy erosion. They demand that crypto platforms be brought fully under traditional securities law.
 - ii) **Republican Perspective / Cato Institute:** Aligns with the libertarian and center-right desire to maximize financial innovation and secure technological dominance. Under this framework, exemplified by the SEC's "Project Crypto" and CFTC approvals of leveraged spot crypto and perpetual futures, domestic deregulation is seen as a strategic necessity. The Cato Institute's perspective argues that over-regulating AI applications in crypto would stifle financial evolution, asserting that onshore, regulated light-touch oversight is structurally superior to driving technical innovation offshore to foreign adversaries.

⁹² CoinGecko and FTI Consulting analyses of the October 10, 2025 liquidation event; Bloomberg and CoinDesk reporting on Binance compensation programs.

Conclusion

Across insurance, trading, and crypto, we see that automation creates fast-paced and large-scaled risks where traditional safety nets are either withdrawn (AI insurance exclusions), aren't adapted to modern technology (equity circuit breakers), or never existed (crypto). The proposed policies addressing these risks largely center around increased human oversight over automated decisions, forced transparency, and public backstops. The open question now isn't just how to prevent AI from causing drastic market crashes, but also who pays when they do.

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